TEACHER GUIDE

IB Diploma Programme Business management HL

Leadership and management

Unit 2: Human resource management
2.3 Leadership and management



A revision lesson. Students run a car dealership in firms of four and revise leadership and management on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Situational style

Round 1

A manager is autocratic with new trainees but lets the expert team decide alone.

Which approach to leadership is this?

- **A** Democratic leadership
- **B** Situational leadership
- **C** Paternalistic leadership
- **D** Laissez-faire leadership

ANSWER

✓ Situational leadership

Why: Changing style to suit the staff and the task is situational leadership.

2 Autocratic effects

Round 1

A manager decides everything alone and gives orders.

Which two effects are most likely over time?

- **A** Decisions are made quickly
- **B** Staff feel more involved
- **C** Skilled staff feel undervalued
- **D** Decisions take longer
- **E** Staff gain more responsibility

ANSWER

✓ Decisions are made quickly
✓ Skilled staff feel undervalued

Why: Deciding alone is quick, but skilled staff want a say.

3 Styles by staff say

Round 2

Four leadership styles.

Order them by how much staff decide, least first?

- **A** Democratic
- **B** Autocratic
- **C** Laissez-faire
- **D** Paternalistic

ANSWER

1. Autocratic
2. Paternalistic
3. Democratic
4. Laissez-faire

Why: Paternalistic leaders still decide, but explain and consult more than autocrats.

Topic tasks

4 Error rate rise

Round 2

A new laissez-faire manager took over.

By what % did the number of errors rise?

Deals a month	**200 deals**
Pricing errors before	**16 errors**
Pricing errors now	**24 errors**

ANSWER

50%

(24 − 16) ÷ 16 × 100 = 50%

Why: Little direction suits skilled staff; here errors rose by 50%.

5 New team, deadline

Round 3

A new, untrained team must deliver a big fleet order by Friday.

Which approach fits, and why?

A Let the team decide how

B Clear instructions from the manager

ANSWER

✓ Clear instructions from the manager

Why: Untrained staff and little time need clear direction.

6 Laissez-faire risk

Round 3

A laissez-faire manager runs a team of new trainees. Errors and complaints rise.

What best explains the problem?

A Trainees lack the skill to work alone

B Decisions are too centralized

C The manager is too controlling

D Staff have too little freedom

ANSWER

✓ Trainees lack the skill to work alone

Why: Laissez-faire suits skilled, motivated staff; trainees need direction.

Final questions

Each student answers 6 final questions on leadership and management. They come from these 8 questions.

1. A dealer says managers welcome challenge, but staff say every failed decision is punished. Which cultural effect is most likely?
   ✔ **Staff stop raising risks or new ideas**

2. A safety incident at a branch needs immediate coordinated action. Why might a usually participative leader become more directive for now?
   ✔ **Urgent risk needs fast, clear decisions**

3. A workshop foreman decides every job allocation himself and tells technicians exactly how to do each task. Which leadership style is this?
   ✔ **Autocratic**

4. Before changing opening hours, a sales manager asks the team for views and lets them vote. Which leadership style is this?
   ✔ **Democratic**

5. Experienced technicians set their own hours and methods; the manager steps in only when asked. Which leadership style is this?
   ✔ **Laissez-faire**

6. A brake fault is found on cars in the showroom. Why might an autocratic style suit the next hour?
   ✔ **Fast, clear instructions are needed**

7. An owner decides everything herself but explains each decision and looks after staff welfare. Which leadership style is this?
   ✔ **Paternalistic**

8. What is a main drawback of democratic leadership in a busy dealership?
   ✔ **Decisions can take longer**